Tech Mahindra Ltd

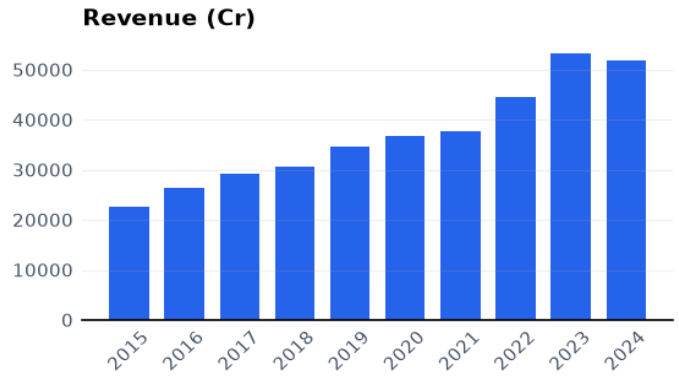
TECHM

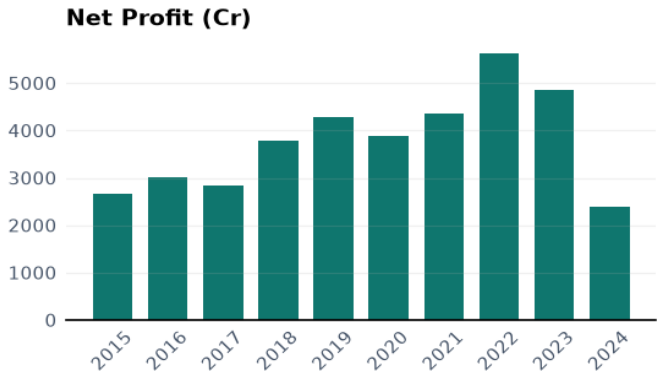
Information Technology

Company Tearsheet

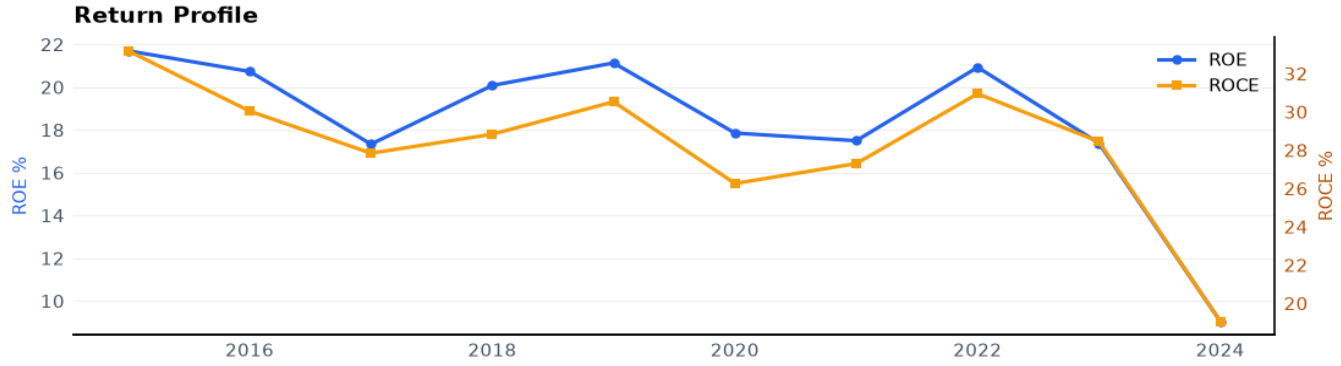
8.4%	-11.0%	9.1%
Revenue CAGR (5Y)	PAT CAGR (5Y)	ROE
19.1%	**0.08x**	**1.54x**
ROCE	Debt / Equity	CFO Quality

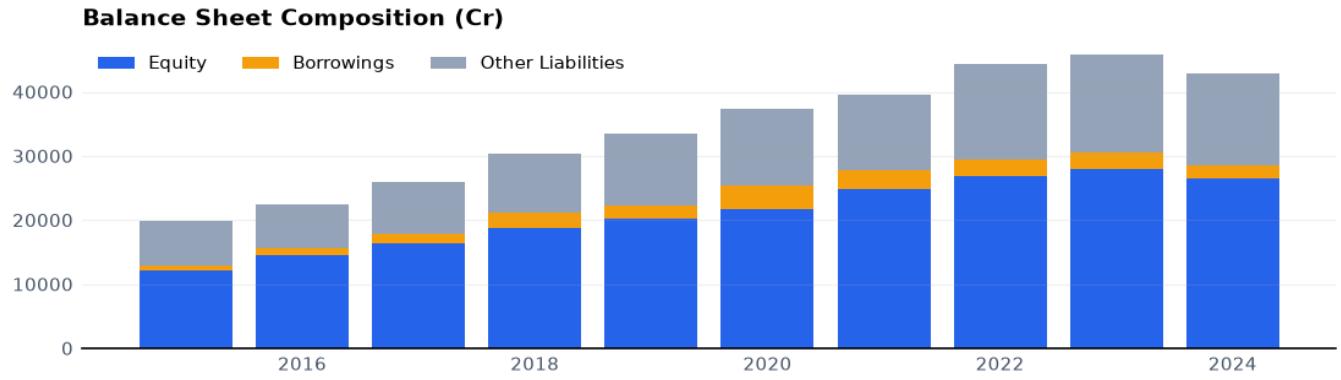
10-Year Financial Performance

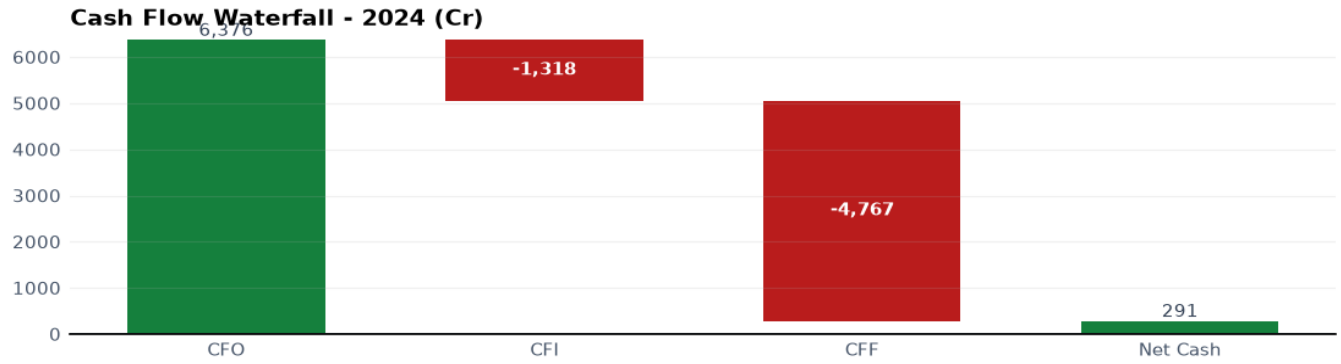




Returns and Capital Efficiency







PROS

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION

Shareholder Returns